



United States
Attorney's Office
Eastern District of Pennsylvania



Philadelphia Mental Health Clinic and Its Psychiatrist Owner Agree to Pay \$900,000 to Resolve False Claims Act Lawsuit for Alleged Medicaid Fraud



Monday, January 27, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Pennsylvania

PHILADELPHIA – United States Attorney Jacqueline C. Romero announced that Dr. Ghodrat Pirooz Sholevar and his company, Nueva Vida Multicultural/Multilingual Behavioral Health, Inc., have agreed to pay \$900,000 to resolve allegations in the United States' Amended Complaint that they fraudulently billed Medicaid for medication management appointments for children and other patients that were too short pursuant to applicable regulations. The government alleges that the visits violated rules promulgated by Community Behavioral Health, the local Medicaid program administrator, and the False Claims Act.

Sholevar and Nueva Vida operated three mental health clinics in Northeast Philadelphia and provided psychiatry services under the Medicaid program to adults and children. Among other mental health services, Sholevar provided medication management appointments for his patients. A medication management appointment or "med check" is required to prescribe, and monitor the effects of, certain drugs for mental health conditions. During a med check, a doctor typically obtains a patient's relevant history, examines his mental status, assesses his response to the medication, and adjusts any prescriptions or treatment plans if necessary. Medication management appointments are required to be at least 15 minutes in length to be fully reimbursable and documentation of the actual time in clock hours that services were provided is a condition of payment for Medicaid services rendered to patients in Philadelphia.

In an amended complaint filed on May 7, 2024, the United States contends that, from January 15, 2009, through March 31, 2017, Nueva Vida regularly submitted false bills for medication management appointments performed by Sholevar because these visits were not at least 15 minutes long and instead

were likely substantially shorter. Nueva Vida also regularly billed for more medication management appointments than could be completed in a single workday if each appointment were 15 minutes long as required. Nueva Vida billed Medicaid for whole single "units" of medication management, thereby falsely representing that each patient had been seen for the required 15 minutes. The government alleges that, despite conducting appointments that were much shorter than 15 minutes, Sholevar falsely recorded start and end times in patients' files that made it appear that the patients were seen for a full 15 minutes. These false "clock times" included overlapping times where Sholevar was purportedly seeing two or three patients during the same 15-minute window, and at two different clinic locations.

The United States further contends that the defendants knew or recklessly disregarded the Medicaid rules regarding the timing of medication management visits. The defendants' fee schedules for services to Medicaid patients specified that the medication management visit was 15 minutes per "unit" of service billed. The defendants were notified in an audit as early as 2004 that medication management visits ranging from six to twelve minutes were too short. The Medicaid program administrator also regularly recouped payments from the defendants for medication management visits that did not include start and end times, or where there was evidence that the appointment was less than 15-minutes long. But the defendants continued providing too-short appointments and failing to document clock times in treatment records, even after these issues were repeatedly brought to their attention. Nueva Vida ceased operating mental health clinics in 2018.

"The defendants allegedly overbilled the Medicaid program at the expense of low-income Philadelphians, including children, who were seeking mental health services," said U.S. Attorney Romero. "These individuals deserved full and appropriate health care services, including careful management of psychiatric drugs that can have dangerous side effects. We will hold accountable those who bill Medicaid but fail to provide the full service, because this not only defrauds the government, but deprives vulnerable individuals of care."

"Medicaid provides important mental health services to adults and children," said Maureen R. Dixon, Special Agent in Charge for the Department of Health and Human Services Office of the Inspector General (HHS-OIG). "The defendants' actions defrauded the Medicaid program and may have resulted in patients not receiving the full services they deserve. HHS-OIG will continue to work with our partners at the United States Attorney's Office to investigate allegations of Medicaid fraud and ensure proper services are provided to patients."

This settlement resolved a lawsuit that the United States filed under the False Claims Act in the U.S. District Court for the Eastern District of Pennsylvania. The government's resolution of this matter illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

This matter was investigated by the U.S. Department of Health and Human Services Office of Inspector General. For the U.S. Attorney's Office, the investigation and settlement were handled by Assistant United States Attorneys Erin Lindgren and Gregory in den Berken and auditor George Niedzwicki.

The case is captioned *United States v. Nueva Vida Multicultural/Multilingual Behavioral Health, Inc. and Ghodrat Pirooz Sholevar, M.D.*, Civ. No. 24-1451 (E.D. Pa.). *The claims resolved by the settlement are allegations only and there has been no determination of liability.*

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